

Doc 11 Strategy Development and Decision Framework

STRATEGY DEVELOPMENT & DECISION FRAMEWORK

Consumer Electronics Growth Challenge

Document 11 | Textual RAG Knowledge Base

1. PURPOSE

This document provides the strategic framework participants should use when converting company evidence into a practical growth strategy.

It explains how to move from diagnosis to choices, prioritisation, implementation, measurement, and iteration.

The purpose is not to prescribe one answer. The purpose is to provide the logic needed to build and defend an answer.

2. THE CORE STRATEGIC QUESTION

The central challenge is not simply to identify what is wrong with the business.

The central question is:

How can the company create meaningful, sustainable incremental growth using the available resources and within the stated implementation horizon?

A strong answer must connect the diagnosis to a specific mechanism for growth.

3. START WITH THE BASELINE

Before proposing an intervention, establish the current state of the business.

The baseline should consider:

- Revenue
- Orders
- Customers
- Products
- Channels
- Regions
- Customer behaviour
- Marketing performance
- B2B activity
- Operational constraints
- Financial economics

The quantitative datasets provide the numerical baseline.

4. DIAGNOSE BEFORE SOLVING

Participants should distinguish symptoms from causes.

For example:

Low revenue growth is a symptom.

Low conversion, weak retention, poor product-channel fit, insufficient demand, stockouts, or weak customer acquisition may be possible causes.

Jumping directly to an intervention without identifying the underlying constraint can result in solving the wrong problem.

5. IDENTIFY THE GROWTH LEVERS

The company has multiple potential growth levers.

These include:

- More customers
- More orders per customer
- Higher basket size
- Better product mix
- Better channel performance
- Better regional performance
- Better conversion
- Better retention
- Reactivation
- Cross-selling
- B2B expansion
- New customer segments
- Operational improvements

Growth does not have to come from a single lever.

6. CUSTOMER GROWTH

Customer growth means increasing the number of customers who generate recognised commercial activity.

Potential mechanisms include:

- New customer acquisition
- New segments
- New regions
- New channels
- B2B account acquisition

Customer acquisition should be evaluated against acquisition economics and future customer quality.

7. FREQUENCY GROWTH

Frequency growth means increasing how often customers purchase.

Potential mechanisms include:

- Lifecycle marketing
- Product replacement
- New product launches
- Cross-selling
- Reactivation
- Loyalty initiatives

Frequency strategies should be based on genuine customer need rather than artificial purchase stimulation.

8. BASKET GROWTH

Basket growth means increasing the value or number of products in an order.

Potential mechanisms include:

- Bundles
- Cross-sell recommendations
- Complementary products
- Volume incentives
- Product combinations

Basket growth should consider both AOV economics and fulfilment complexity.

9. PRODUCT MIX GROWTH

Revenue can improve through a change in the products customers purchase.

A strategy may prioritise products with:

- Strong demand
- Positive growth
- Attractive economics
- Cross-sell potential
- Strategic relevance

However, product growth must be checked against supply capacity, inventory, and competition.

10. CHANNEL GROWTH

Channel growth can come from:

- Increasing traffic
- Improving conversion
- Improving merchandising
- Improving channel-specific offers
- Expanding the direct channel
- Marketplace optimisation
- Offline distribution
- B2B development

Channel strategy should account for economics, customer ownership, and operational requirements.

11. REGIONAL GROWTH

Regional expansion can create incremental demand when a region has sufficient market potential and the company can serve it economically.

Regional decisions should consider:

- Existing performance
- Product fit
- Customer demand
- Channel access

- Logistics
- Competition
- Marketing cost

A weak-performing region is not automatically an attractive growth opportunity.

12. B2B GROWTH

B2B can create larger commercial opportunities through organisational accounts.

Potential mechanisms include:

- New account acquisition
- Existing account expansion
- Dormant-account reactivation
- Industry-specific targeting
- Corporate gifting
- Institutional procurement
- Retail partnerships

B2B growth must account for sales-cycle length, deal economics, payment terms, and fulfilment.

13. PRIORITISATION

The company cannot pursue every possible growth idea simultaneously.

Prioritisation should consider:

- Expected impact
- Probability of success
- Implementation cost
- Time to impact
- Scalability
- Operational feasibility
- Strategic fit
- Competitive response
- Risk

A theoretically attractive opportunity may not be the best opportunity if it is too slow, expensive, or difficult to execute.

14. IMPACT VS EFFORT

A useful first prioritisation lens is impact versus effort.

HIGH IMPACT / LOW EFFORT: Usually attractive early initiatives.

HIGH IMPACT / HIGH EFFORT: Potential strategic bets requiring careful planning.

LOW IMPACT / LOW EFFORT: Useful only if they do not distract from higher-value work.

LOW IMPACT / HIGH EFFORT: Usually deprioritised.

This framework is a prioritisation aid, not a substitute for financial analysis.

15. SPEED TO IMPACT

The implementation horizon matters.

Some initiatives can affect revenue relatively quickly.

Examples may include:

- Reallocating existing marketing spend
- Improving product merchandising
- Reactivating existing customers
- Cross-selling

Other initiatives may require more time:

- New channel development
- Large B2B relationships
- Major product launches
- Infrastructure changes

Strategies should distinguish between immediate, medium-term, and longer-term effects.

16. STRATEGIC FIT

An initiative should fit the company's capabilities and operating model.

Strategic fit can include:

- Existing product capabilities
- Existing channels
- Existing customer relationships
- Supplier capabilities
- Warehouse capacity
- Marketing capabilities
- Sales capabilities

A strategy that requires capabilities the company does not possess may require additional investment or may be impractical.

17. CAUSAL LOGIC

Every major recommendation should have an explicit causal chain.

Example:

Target at-risk customers → personalised reactivation campaign → additional purchases → incremental revenue.

Another example:

Improve marketplace product pages → higher conversion → more orders → incremental revenue.

If the causal chain cannot be clearly explained, the recommendation is not sufficiently developed.

18. HYPOTHESES

Strategic recommendations are often hypotheses rather than certainties.

A useful hypothesis has the structure:

IF we change X, THEN Y should improve, BECAUSE Z.

Example:

If the company targets high-propensity existing customers with relevant complementary products, then repeat revenue should increase because the customers already demonstrate product engagement.

19. TESTING THE HYPOTHESIS

Where uncertainty is significant, the company should test the hypothesis before scaling it.

Possible testing methods include:

- A/B tests
- Pilot campaigns
- Regional pilots
- Product-level experiments
- Control groups
- Limited B2B pilots

The objective is to reduce uncertainty before committing significant resources.

20. PILOT DESIGN

A good pilot should define:

- Target audience
- Intervention
- Control or comparison group where appropriate
- Duration
- Budget
- Success metric
- Minimum acceptable result
- Stop condition
- Scale condition

This prevents a pilot from becoming an open-ended experiment.

21. SUCCESS METRICS

Success metrics should directly connect to the objective.

Acquisition initiative → New customers, acquisition cost, downstream value.

Retention initiative → Repeat rate, incremental repeat revenue.

Cross-sell initiative → Additional products, incremental basket value.

Marketing initiative → Incremental revenue, efficiency, customer quality.

B2B initiative → Qualified accounts, wins, revenue, margin, sales-cycle performance.

Operational initiative → Capacity, fulfilment performance, cost reduction, service improvement.

22. LEADING VS LAGGING INDICATORS

Leading indicators provide early evidence that an initiative is moving in the desired direction.

Examples include traffic, qualified leads, engagement, conversion, pipeline creation, or pilot response.

Lagging indicators reflect final commercial outcomes such as recognised revenue, profit contribution, retention, or realised account value.

Strong monitoring uses both.

23. EXPERIMENTATION AND SCALE

An initiative should generally move through:

Hypothesis → Pilot → Measurement → Decision → Scale / Modify / Stop.

Scaling an untested idea increases risk.

However, excessive testing can also delay action.

The objective is to reach sufficient confidence for the size of the decision being made.

24. RESOURCE ALLOCATION

Resources include more than money.

They include:

- People
- Time
- Management attention
- Inventory
- Marketing capacity
- Sales capacity
- Technology
- Operational capacity

A strategy may fit the ₹10 lakh budget while still exceeding the company's available organisational capacity.

25. THE ₹10 LAKH IMPLEMENTATION BUDGET

The ₹10 lakh budget should be allocated to interventions that enable measurable commercial impact.

Participants should clearly distinguish:

- Implementation investment
- Recurring operating cost
- Expected incremental revenue
- Expected economic value
- Risk and uncertainty

The budget should not be treated as a requirement to spend every rupee.

26. SIX-MONTH IMPLEMENTATION HORIZON

The strategy must be executable within the stated six-month horizon.

A recommendation should therefore include:

- What happens first
- What happens next
- What can run in parallel
- What depends on another action
- When results should become visible
- When management should reassess the strategy

27. ROADMAP STRUCTURE

A practical roadmap can use four phases:

PHASE 1 — Diagnose and Prepare

Validate the problem, finalise targeting, prepare assets, systems, and operational capacity.

PHASE 2 — Pilot

Launch controlled interventions and collect evidence.

PHASE 3 — Optimise

Improve the strongest interventions and discontinue weak ones.

PHASE 4 — Scale

Allocate additional resources to proven initiatives.

28. DEPENDENCIES

Some initiatives depend on other capabilities.

Examples:

Marketing scale may depend on inventory.

B2B growth may depend on sales capacity.

Cross-selling may depend on product availability.

Regional expansion may depend on logistics.

New channel expansion may depend on product listings and operational integration.

Dependencies should be identified before implementation begins.

29. RISK MANAGEMENT

Each major initiative should identify its primary risks.

Examples include:

- Demand risk
- Execution risk
- Financial risk
- Operational risk
- Competitive risk
- Customer-experience risk
- Data / measurement risk

Risk mitigation should be proportionate to the size of the decision.

30. STOP / SCALE RULES

A strong strategy defines what would cause management to stop or scale an initiative.

STOP if the intervention materially underperforms the minimum acceptable result.

MODIFY if the mechanism appears promising but execution or targeting is weak.

SCALE if results meet the defined threshold and the economics remain attractive.

This creates disciplined resource allocation.

31. STRATEGIC SCORECARD

An initiative can be evaluated across:

Impact

Confidence

Cost

Speed

Scalability

Strategic Fit

Operational Feasibility

Risk

Customer Value

Financial Attractiveness

The scorecard should support decision-making rather than create false precision.

32. INTEGRATED STRATEGY

The strongest strategy will usually combine multiple complementary levers rather than rely on one isolated action.

For example:

Customer retention + cross-sell + selective acquisition + product prioritisation + operational readiness.

The combination should be designed so that the levers reinforce rather than undermine each other.

33. WHAT NOT TO DO

Do not recommend initiatives simply because they sound innovative.

Do not recommend every possible growth lever.

Do not assume every problem requires additional spending.

Do not use historical correlation as automatic proof of causation.

Do not ignore operational constraints.

Do not present pipeline as revenue.

Do not assume all customers, products, channels, or regions behave identically.

Do not hide uncertainty behind overly precise forecasts.

34. EXECUTIVE RECOMMENDATION STRUCTURE

A strong final recommendation can follow this structure:

1. Problem
2. Evidence
3. Root cause / hypothesis
4. Strategic choice
5. Specific actions
6. Budget
7. Timeline
8. Expected impact
9. Risks
10. Measurement
11. Scale / stop conditions

35. FINAL STRATEGIC PRINCIPLE

The objective is not to produce the longest strategy.

The objective is to produce a strategy that is evidence-based, commercially meaningful, financially disciplined, operationally feasible, measurable, and executable within the available resources and timeframe.

The best strategy is the one that makes clear not only what the company should do, but why it should do it, how it will work, how much it will require, and how management will know whether it worked.

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